

KYC & Customer Due Diligence

Know your customer. Protect your business.

Prepared By	Approved By	Review Date	Classification
Milkah Muchunu	[Manager Name]	May 2027	RESTRICTED

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1. PURPOSE

This SOP establishes the standards and procedures for conducting Know Your Customer (KYC) and Customer Due Diligence (CDD) at [Company Name]. It ensures compliance with the Proceeds of Crime and Anti-Money Laundering Act (POCAMLA), the Central Bank of Kenya (CBK) regulations and applicable international standards including FATF recommendations.

KYC and CDD are critical controls that protect [Company Name] from being used as a vehicle for money laundering, terrorist financing, fraud and other financial crimes. Every staff member involved in customer onboarding and account management has a personal responsibility to adhere to this SOP.

2. SCOPE

- All staff involved in customer onboarding, account management, and relationship management
- All new individual and business customers
- All existing customers at the point of periodic review
- All high-risk customers and Politically Exposed Persons (PEPs)
- All correspondent banking and third-party relationships

3. REGULATORY FRAMEWORK

Regulation / Standard	Relevance
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POCAMLA, 2009	Proceeds of Crime and Anti-Money Laundering Act — primary AML legislation in Kenya
CBK AML Guidelines	Central Bank of Kenya guidelines on AML/CFT for financial institutions
FATF Recommendations	Financial Action Task Force — international standards on combating money laundering and terrorist financing
Data Protection Act, 2019	Governs the collection, use, and storage of customer personal data
Prevention of Terrorism Act	Kenya's counter-terrorism legislation relevant to CFT obligations
EU Sanctions Regulations	Applicable where [Company Name] deals with EU-regulated entities or transactions

4. KEY DEFINITIONS

Term	Definition
KYC	Know Your Customer — the process of verifying the identity of customers and understanding their financial activities
CDD	Customer Due Diligence — the broader process of assessing customer risk, verifying identity, and understanding the nature of the business relationship
EDD	Enhanced Due Diligence — additional scrutiny applied to high risk customers such as PEPs and high-risk jurisdictions
SDD	Simplified Due Diligence — a reduced level of scrutiny permitted for low-risk customers in defined circumstances
AML	Anti-Money Laundering — measures to prevent criminals from disguising illegally obtained funds as legitimate income
CFT	Counter Financing of Terrorism — measures to prevent funds from being used to finance terrorist activities
PEP	Politically Exposed Person — an individual who holds or has held a prominent public position, or is closely associated with one
Beneficial Owner	The natural person who ultimately owns or controls a customer entity or on whose behalf a transaction is conducted
SAR	Suspicious Activity Report — a report filed with the Financial Reporting Centre (FRC) when suspicious activity is detected
FRC	Financial Reporting Centre — Kenya's financial intelligence unit responsible for receiving and analyzing SARs

5. CUSTOMER RISK CLASSIFICATION

Every customer must be assigned a risk rating upon onboarding and reviewed periodically. The risk rating determines the level of due diligence required.

Risk Level	Customer Profile	Due Diligence Required	Review Frequency
HIGH	PEPs, high-risk jurisdictions, cash-intensive businesses, complex structures	Enhanced Due Diligence (EDD) — senior management approval required	Every 6 months
MEDIUM	SMEs, non-resident customers, NGOs, new businesses with limited history	Standard Customer Due Diligence (CDD)	Every 12 months
LOW	Salaried employees, established businesses, government employees	Simplified Due Diligence (SDD) where permitted	Every 24 months

6. KYC REQUIREMENTS BY CUSTOMER TYPE

◆ 6.1 Individual Customers — Standard CDD

Document	Requirement
Photo ID	National ID, Passport, or Alien Card — must be valid and not expired. Verify original.
Proof of Address	Utility bill, bank statement, or tenancy agreement not older than 3 months
Photograph	Recent passport-size photograph — taken within the last 6 months
KRA PIN	Kenya Revenue Authority Personal Identification Number — mandatory for all financial transactions
Source of Funds	Employment letter, payslip, business registration, or other evidence of income source
Contact Details	Active mobile number, email address, and physical address

◆ 6.2 Business Customers — Standard CDD

Document	Requirement
Certificate of Incorporation	Certified copy issued by the Registrar of Companies — verify authenticity
Memorandum & Articles	Memorandum and Articles of Association — most recent version
CR12	Certificate of Official Search — not older than 3 months — confirms current directors and shareholders

KRA PIN (Business)	Business KRA PIN certificate
Business Permit	Valid business permit or trade license from the relevant county
Directors' KYC	Full KYC documentation for all directors as per Individual Customer requirements
Beneficial Owners	KYC documentation for all beneficial owners holding 10% or more of the business
Board Resolution	Resolution authorizing account opening and naming authorized signatories
Source of Funds	Audited financial statements, bank statements, or other evidence of the business's income source

◆ 6.3 Politically Exposed Persons (PEPs) — Enhanced Due Diligence

PEPs are individuals who hold or have held prominent public positions, or are closely associated with such persons. They present a higher risk of corruption and must be subject to Enhanced Due Diligence.

- Senior management approval is required before onboarding any PEP
- All standard KYC documents must be collected as a minimum
- Additional evidence of source of wealth is required — not just source of funds
- PEPs must be screened against international sanctions lists and adverse media
- Senior management must approve the continuation of the relationship at every annual review
- Any unusual or suspicious transactions by a PEP must be reported to the Compliance Officer immediately

NOTE: A PEP classification does not automatically mean the customer is a criminal. It means a higher level of scrutiny is required. Treat all PEPs with professionalism and respect.

7. KYC VERIFICATION PROCESS

◆ Step 1 — Document Collection

1. Request all required documents based on the customer type as per Section 6
2. Inform the customer clearly of which documents are required and why
3. Accept only original documents or certified copies — no photocopies
4. Check that all documents are valid, current, and not expired
5. Upload all documents to the KYC management system immediately

◆ Step 2 — Identity Verification

6. Verify the customer's identity by comparing the photo ID against the person in front of you
7. For remote onboarding, use approved digital identity verification tools
8. Cross-reference the name, date of birth, and ID number across all submitted documents
9. Check the ID document for signs of tampering, alteration, or forgery
10. For business customers, verify director identities against the CR12

◆ Step 3 — Sanctions & Watchlist Screening

11. Screen all customers against the following lists before onboarding:
 - UN Security Council Sanctions List
 - OFAC (US Office of Foreign Assets Control) SDN List
 - EU Consolidated Sanctions List
 - HM Treasury UK Sanctions List
 - CBK and FRC watchlists
12. Document the screening outcome in the KYC system
13. If a match is found — DO NOT onboard the customer and report immediately to the Compliance Officer
14. If no match — proceed to Step 4

◆ Step 4 — Risk Assessment & Classification

15. Assign a risk rating to the customer based on the Risk Classification Matrix in Section 5
16. Document the rationale for the risk rating in the KYC system
17. For High-risk customers — obtain senior management approval before proceeding
18. For Medium-risk — Team Leader approval required
19. For Low-risk — CX Agent may proceed with standard processing

◆ Step 5 — Approval & Account Activation

20. Submit the completed KYC file for review and approval
21. The Compliance Officer or designated approver reviews and signs off
22. Upon approval, proceed with account activation
23. Communicate approval or rejection to the customer within the agreed SLA
24. If rejected — inform the customer of the outcome without disclosing the specific reason if related to AML concerns

8. ONGOING MONITORING & PERIODIC REVIEW

KYC is not a one-time exercise. All customer relationships must be monitored on an ongoing basis and reviewed periodically.

◆ 8.1 Transaction Monitoring

- Monitor all customer transactions for unusual patterns or activity inconsistent with the customer's profile
- Flag transactions that exceed defined thresholds for review
- Investigate all alerts generated by the transaction monitoring system
- Document all investigations and outcomes in the KYC system

◆ 8.2 Periodic KYC Review Schedule

Risk Level	Review Frequency	Trigger for Earlier Review
High	Every 6 months	Any suspicious activity, change in business nature, or adverse media
Medium	Every 12 months	Change in ownership, new product use, or unusual transaction patterns
Low	Every 24 months	Large unexplained transactions or change in customer behavior

◆ 8.3 Triggers for Immediate Review

- Customer appears on a sanctions or watchlist
- Suspicious transaction or unusual activity detected
- Change in customer's ownership, control, or business nature
- Adverse media coverage linking the customer to criminal activity
- Customer requests an unusual product or service outside their normal profile
- Receipt of a court order, regulatory directive, or law enforcement inquiry

9. ENHANCED DUE DILIGENCE (EDD) REQUIREMENTS

Enhanced Due Diligence must be applied to all High-risk customers. In addition to standard KYC, the following must be obtained:

EDD Requirement	Details
Source of Wealth	Evidence of how the customer accumulated their overall wealth — not just the source of the specific funds being deposited
Senior Management Approval	Written approval from a designated senior manager before onboarding or continuing the relationship
Enhanced Transaction Monitoring	More frequent review of transactions — monthly rather than quarterly

Adverse Media Screening	Search for negative news articles, regulatory actions, or criminal associations
Purpose of Relationship	Detailed understanding of why the customer wants to use the specific product or service
Expected Transaction Profile	Document the expected frequency, volume, and nature of transactions
Annual Senior Management Review	The relationship must be reviewed and approved by senior management at every annual review

10. SUSPICIOUS ACTIVITY REPORTING

Every employee has a legal obligation to report suspicious activity. Failure to report is a criminal offence under POCAMLA.

◆ 10.1 What Constitutes Suspicious Activity?

- Transactions that appear inconsistent with the customer's known profile or business
- Large cash transactions without a clear business rationale
- Customers who are reluctant to provide KYC documentation
- Multiple transactions just below the reporting threshold (structuring)
- Transactions involving high-risk jurisdictions without a clear business reason
- A customer who appears to be acting on behalf of an undisclosed third party
- Any transaction linked to a person or entity on a sanctions list
- Customers who show unusual interest in AML/CFT policies and procedures

◆ 10.2 SAR Filing Process

25. Identify the suspicious activity and document your observations
26. Report to the Money Laundering Reporting Officer (MLRO) or Compliance Officer immediately
27. Do NOT tip off the customer — informing a customer that a SAR has been filed is a criminal offence
28. The MLRO reviews the report and decides whether to file a SAR with the FRC
29. All SARs must be filed with the FRC within 3 days of the decision to report
30. Document all steps taken in the secure SAR register

ALERT: Tipping off a customer that they are under investigation or that a SAR has been filed is a serious criminal offence. Never discuss SAR activity with the customer or unauthorized colleagues.

11. KYC DOCUMENTATION CHECKLIST

Use this checklist for every new customer onboarding. All items must be completed and documented before account activation.

#	Checklist Item
01	All required identity documents collected and verified against originals
02	Proof of address collected and verified — not older than 3 months
03	KRA PIN verified for all individual and business customers
04	Source of funds documented and verified
05	For business customers — beneficial owners identified and KYC collected
06	Sanctions screening completed — no matches found
07	Adverse media search conducted and documented
08	Risk rating assigned and documented with rationale
09	Required approval obtained based on risk rating
10	For PEPs — senior management approval obtained
11	All documents uploaded to the KYC management system
12	Expected transaction profile documented
13	Customer informed of ongoing monitoring obligations
14	Account activation authorized and confirmed

12. RECORD KEEPING

- All KYC documents and records must be retained for a minimum of 7 years from the date of account closure
- Records must be stored securely and accessible only to authorized personnel
- KYC records must be available for inspection by regulators, law enforcement, or auditors upon request
- Any destruction of KYC records before the retention period must be authorized by the Compliance Officer
- Digital KYC records must be backed up and protected against unauthorized access or alteration

13. TRAINING & AWARENESS

- All staff involved in customer onboarding must complete AML/KYC training upon joining
- Refresher training must be completed annually by all relevant staff
- The Compliance Officer must be notified of any new staff requiring KYC training within 5 days of joining
- Training records must be maintained and available for regulatory inspection
- Staff who fail to complete mandatory training will not be authorized to conduct KYC activities

14. PENALTIES FOR NON-COMPLIANCE

Violation	Potential Consequence
Failure to conduct KYC	Regulatory sanctions, fines, and loss of operating license
Onboarding a sanctioned person	Criminal prosecution, significant fines, and reputational damage
Tipping off	Criminal offence — imprisonment and/or fines under POCAMLA
Failure to file a SAR	Criminal offence — personal liability for the MLRO and staff member
Inadequate record keeping	Regulatory penalties and inability to defend against legal claims
Failure to complete AML training	Internal disciplinary action and removal from KYC duties

15. DOCUMENT CONTROL

Version	Date	Author	Changes
1.0	May 2026	Milkah Muchunu	Initial version